



Source - Trading View

This is another example of a cup and handles formation. We see that such formation is formed over months. We see that there is a false breakout and then the price comes back. However, the second attempt to break out is successful and the asset successfully breaks above its cup and handle resistance. There were relatively high volumes at the time of the first breakout which should increase our conviction in the trade. In this case, we would have made a loss in the first trade but earned a decent profit in the second trade.